

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR ENGROSSED
6 SENATE BILL NO. 237

By: Murdock of the Senate

and

Dobrinski and **Newton** of the
House

10 COMMITTEE SUBSTITUTE

11 An Act relating to ad valorem tax; amending 68 O.S.
12 2021, Section 2902, as last amended by Section 1,
13 Chapter 411, O.S.L. 2025 (68 O.S. Supp. 2025, Section
14 2902), which relates to the exemption from ad valorem
15 tax for manufacturing facilities; defining battery
16 energy storage system; excluding from certain
17 definitions; limiting qualification as manufacturing
18 facilities; excluding from certain personal property
19 exemption; excluding from consideration as electric
20 power generation; providing that effective on
21 specified date a certain classification of entity not
22 be eligible for exemption; determining final dates
23 for applications; excluding certain classification of
24 entity from certain definition; and providing an
 effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 68 O.S. 2021, Section 2902, as
last amended by Section 1, Chapter 411, O.S.L. 2025 (68 O.S. Supp.
2025, Section 2902), is amended to read as follows:

1 Section 2902. A. Except as otherwise provided by subsection H
2 of Section 3658 of this title pursuant to which the exemption
3 authorized by this section may not be claimed, a qualifying
4 manufacturing concern, as defined by Section 6B of Article X of the
5 Oklahoma Constitution, and as further defined herein, shall be
6 exempt from the levy of any ad valorem taxes upon new, expanded or
7 acquired manufacturing facilities including facilities engaged in
8 research and development, for a period of five (5) years. The
9 provisions of Section 6B of Article X of the Oklahoma Constitution
10 requiring an existing facility to have been unoccupied for a period
11 of twelve (12) months prior to acquisition shall be construed as a
12 qualification for a facility to initially receive an exemption, and
13 shall not be deemed to be a qualification for that facility to
14 continue to receive an exemption in each of the four (4) years
15 following the initial year for which the exemption was granted.
16 Such facilities are hereby classified for the purposes of taxation
17 as provided in Section 22 of Article X of the Oklahoma Constitution.

18 B. For purposes of this section, the following definitions
19 shall apply:

20 1. "Manufacturing facilities" means facilities engaged in the
21 mechanical or chemical transformation of materials or substances
22 into new products and except as provided by paragraph 6 of
23 subsection C of this section shall include:
24

- 1 a. establishments which have received a manufacturer
2 exemption permit pursuant to the provisions of Section
3 1359.2 of this title,
- 4 b. facilities including repair and replacement parts,
5 primarily engaged in aircraft repair, building and
6 rebuilding whether or not on a factory basis,
- 7 c. establishments primarily engaged in computer services
8 and data processing as defined under Industrial Group
9 Numbers 5112 and 5415, and U.S. Industry Number 334611
10 and 519130 of the NAICS Manual, latest revision, and
11 which derive at least fifty percent (50%) of their
12 annual gross revenues from the sale of a product or
13 service to an out-of-state buyer or consumer, and as
14 defined under Industrial Group Number 5182 of the
15 NAICS Manual, latest revision, which derive at least
16 eighty percent (80%) of their annual gross revenues
17 from the sale of a product or service to an out-of-
18 state buyer or consumer. Eligibility as a
19 manufacturing facility pursuant to this subparagraph
20 shall be established, subject to review by the
21 Oklahoma Tax Commission, by annually filing an
22 affidavit with the Tax Commission stating that the
23 facility so qualifies and such other information as
24 required by the Tax Commission. For purposes of

determining whether annual gross revenues are derived from sales to out-of-state buyers, all sales to the federal government shall be considered to be an out-of-state buyer,

- d. facilities that the investment cost of the construction, acquisition or expansion is Five Hundred Thousand Dollars (\$500,000.00) or more with respect to assets placed into service during calendar year 2022. For subsequent calendar years, the investment required shall be increased annually by a percentage equal to the previous year's increase in the Consumer Price Index-All Urban Consumers ("CPI-U") and such adjusted amount shall be the required investment cost in order to qualify for the exemption authorized by this section. The Oklahoma Department of Commerce shall determine the amount of the increase, if any, on January 1 of each year. The Oklahoma Tax Commission shall publish on its website at least annually the adjusted dollar amount in order to qualify for the exemption authorized by this section and shall include the adjusted dollar amount in any of its relevant forms or publications with respect to the exemption. Provided, "investment cost" shall not include the cost of:

1 (1) battery energy storage systems, or

2 (2) direct replacement, refurbishment, repair or
3 maintenance of existing machinery or equipment,
4 except that investment cost shall include capital
5 expenditures for direct replacement,
6 refurbishment, repair or maintenance of existing
7 machinery or equipment that qualifies for
8 depreciation and/or amortization pursuant to the
9 Internal Revenue Code of 1986, as amended, and
10 such expenditures shall be eligible as a part of
11 an expansion that otherwise qualifies under this
12 section,

13 e. establishments primarily engaged in distribution as
14 defined under Industry Numbers 49311, 49312, 49313 and
15 49319 and Industry Sector Number 42 of the NAICS
16 Manual, latest revision, and which meet the following
17 qualifications:

18 (1) construction with an initial capital investment
19 of at least Five Million Dollars (\$5,000,000.00),

20 (2) employment of at least one hundred (100) full-
21 time-equivalent employees, as certified by the
22 Oklahoma Employment Security Commission,

23 (3) payment of wages or salaries to its employees at
24 a wage which equals or exceeds the average wage

1 requirements in the Oklahoma Quality Jobs Program
2 Act for the year in which the real property was
3 placed into service, and

4 (4) commencement of construction on or after November
5 1, 2007, with construction to be completed within
6 three (3) years from the date of the commencement
7 of construction,

8 f. facilities engaged in the manufacturing, compounding,
9 processing or fabrication of materials into articles
10 of tangible personal property according to the special
11 order of a customer (custom order manufacturing) by
12 manufacturers classified as operating in North
13 American Industry Classification System (NAICS)
14 Sectors 32 and 33, but does not include such custom
15 order manufacturing by manufacturers classified in
16 other NAICS code sectors, and

17 g. with respect to any entity making an application for
18 the exemption authorized by this section on or after
19 January 1, 2023, the establishment making application
20 for exempt treatment of real or personal property
21 acquired or improved beginning January 1, 2022, and
22 for any calendar year thereafter, the entity shall be
23 required to pay new direct jobs, as defined by Section
24 3603 of this title for purposes of the Oklahoma

1 Quality Jobs Program Act, an average annualized wage
2 which equals or exceeds the average wage requirement
3 in the Oklahoma Quality Jobs Program Act for the year
4 in which the real or personal property was placed into
5 service. The Oklahoma Tax Commission may request
6 verification from the Oklahoma Department of Commerce
7 that an establishment seeking an exemption for real or
8 personal property pays an average annualized wage that
9 equals or exceeds the average wage requirement in
10 effect for the year in which the real or personal
11 property was placed into service. For purposes of
12 this subparagraph, it shall not be necessary for the
13 establishment to qualify for incentive payments
14 pursuant to the Oklahoma Quality Jobs Program Act, but
15 the establishment shall be subject to the wage
16 requirements of the Oklahoma Quality Jobs Program Act
17 with respect to new direct jobs in order to qualify
18 for the exempt treatment authorized by this section.

19 Eligibility as a manufacturing facility pursuant to this
20 subparagraph shall be established, subject to review by the Tax
21 Commission, by annually filing an affidavit with the Tax Commission
22 stating that the facility so qualifies and containing such other
23 information as required by the Tax Commission.

1 Provided, eating and drinking places, as well as other retail
2 establishments, shall not qualify as manufacturing facilities for
3 purposes of this section, nor shall battery energy storage systems
4 or centrally assessed properties.

5 Eligibility as a manufacturing facility pursuant to this
6 subparagraph shall be established, subject to review by the Tax
7 Commission, by annually filing an application with the Tax
8 Commission stating that the facility so qualifies and containing
9 such other information as required by the Tax Commission;

10 2. "Facility" and "facilities", except as otherwise provided by
11 this section, means and includes the land, buildings, structures and
12 improvements used directly and exclusively in the manufacturing
13 process. Effective January 1, 2022, and for each calendar year
14 thereafter, for establishments which have received a manufacturer
15 exemption permit pursuant to the provisions of Section 1359.2 of
16 this title, or facilities engaged in manufacturing activities
17 defined or classified in the NAICS Manual under Industry Nos. 311111
18 through 339999, inclusive, but for no other establishments, facility
19 and facilities means and includes the land, buildings, structures,
20 improvements, machinery, fixtures, equipment and other personal
21 property used directly and exclusively in the manufacturing process.
22 "Facility" and "facilities" shall not include battery energy storage
23 systems; and

1 3. "Research and development" means activities directly related
2 to and conducted for the purpose of discovering, enhancing,
3 increasing or improving future or existing products or processes or
4 productivity; and

5 4. "Battery energy storage system" means a large-scale system
6 of interconnected batteries designed to store electrical energy for
7 later use.

8 C. The following provisions shall apply:

9 1. A manufacturing concern shall be entitled to the exemption
10 herein provided for each new manufacturing facility constructed,
11 each existing manufacturing facility acquired and the expansion of
12 existing manufacturing facilities on the same site, as such terms
13 are defined by Section 6B of Article X of the Oklahoma Constitution
14 and by this section;

15 2. No manufacturing concern shall receive more than one five-
16 year exemption for any one manufacturing facility unless the
17 expansion which qualifies the manufacturing facility for an
18 additional five-year exemption meets the requirements of paragraph 4
19 of this subsection and the employment level established for any
20 previous exemption is maintained;

21 3. Any exemption as to the expansion of an existing
22 manufacturing facility shall be limited to the increase in ad
23 valorem taxes directly attributable to the expansion;

1 4. All initial applications for any exemption for a new,
2 acquired or expanded manufacturing facility shall be granted only
3 if:

4 a. there is a net increase in annualized base payroll
5 over the initial payroll of at least Two Hundred Fifty
6 Thousand Dollars (\$250,000.00) if the facility is
7 located in a county with a population of fewer than
8 seventy-five thousand (75,000), according to the most
9 recent Federal Decennial Census, while maintaining or
10 increasing base payroll in subsequent years, or at
11 least One Million Dollars (\$1,000,000.00) if the
12 facility is located in a county with a population of
13 seventy-five thousand (75,000) or more, according to
14 the most recent Federal Decennial Census, while
15 maintaining or increasing base payroll in subsequent
16 years; provided, the payroll requirement of this
17 subparagraph shall be waived for claims for exemptions
18 including claims previously denied or on appeal on
19 March 3, 2010, for all initial applications for
20 exemption filed on or after January 1, 2004, and on or
21 before March 31, 2009, and all subsequent annual
22 exemption applications filed related to the initial
23 application for exemption, for an applicant, if the
24 facility has been located in Oklahoma for at least

1 fifteen (15) years engaged in marine engine
2 manufacturing as defined under U.S. Industry Number
3 333618 of the NAICS Manual, latest revision, and has
4 maintained an average employment of five hundred (500)
5 or more full-time-equivalent employees over a ten-year
6 period. Any applicant that qualifies for the payroll
7 requirement waiver as outlined in the previous
8 sentence and subsequently closes its Oklahoma
9 manufacturing plant prior to January 1, 2012, may be
10 disqualified for exemption and subject to recapture.
11 For an applicant engaged in paperboard manufacturing
12 as defined under U.S. Industry Number 322130 of the
13 NAICS Manual, latest revision, union master payouts
14 paid by the buyer of the facility to specified
15 individuals employed by the facility at the time of
16 purchase, as specified under the purchase agreement,
17 shall be excluded from payroll for purposes of this
18 section.

19 In order to provide certainty with respect to investments in
20 manufacturing facilities pertaining to all initial applications for
21 exemption filed on or after January 1, 2016, the following
22 definitions shall apply:

- 23 (1) "base payroll" shall mean total payroll adjusted
24 for any nonrecurring bonuses, exercise of stock

1 option or stock rights and other nonrecurring,
2 extraordinary items included in total payroll,
3 and

4 (2) "initial payroll" shall mean base payroll for the
5 year immediately preceding the initial
6 construction, acquisition or expansion.

7 The Tax Commission shall verify payroll information
8 through the Oklahoma Employment Security Commission by
9 using reports from the Oklahoma Employment Security
10 Commission for the calendar year immediately preceding
11 the year for which initial application is made for
12 base-line payroll, which must be maintained or
13 increased for each subsequent year; provided, a
14 manufacturing facility shall have the option of
15 excluding from its payroll, for purposes of this
16 section:

- 17 i. payments to sole proprietors, members
18 of a partnership, members of a limited
19 liability company who own at least ten
20 percent (10%) of the capital of the
21 limited liability company or
22 stockholder-employees of a corporation
23 who own at least ten percent (10%) of
24 the stock in the corporation, and

1 ii. any nonrecurring bonuses, exercise of
2 stock option or stock rights or other
3 nonrecurring, extraordinary items
4 included in total payroll numbers as
5 reported by the Oklahoma Employment
6 Security Commission. A manufacturing
7 facility electing either option shall
8 indicate such election upon its
9 application for an exemption under this
10 section. Any manufacturing facility
11 electing either option shall submit
12 such information as the Tax Commission
13 may require in order to verify payroll
14 information. Payroll information
15 submitted pursuant to the provisions of
16 this paragraph shall be submitted to
17 the Tax Commission and shall be subject
18 to the provisions of Section 205 of
19 this title, and

20 b. the facility offers, or will offer within one hundred
21 eighty (180) days of the date of employment, a basic
22 health benefits plan to the full-time-equivalent
23 employees of the facility, which is determined by the
24 Oklahoma Department of Commerce to consist of the

1 elements specified in subparagraph b of paragraph 1 of
2 subsection A of Section 3603 of this title or elements
3 substantially equivalent thereto.

4 For purposes of this section, calculation of the amount of
5 increased base payroll shall be measured from the start of initial
6 construction or expansion to the completion of such construction or
7 expansion or for three (3) years from the start of initial
8 construction or expansion, whichever occurs first. The amount of
9 increased base payroll shall include payroll for full-time-
10 equivalent employees in this state who are employed by an entity
11 other than the facility which has previously or is currently
12 qualified to receive an exemption pursuant to the provisions of this
13 section and who are leased or otherwise provided to the facility, if
14 such employment did not exist in this state prior to the start of
15 initial construction or expansion of the facility. The
16 manufacturing concern shall submit an affidavit to the Tax
17 Commission, signed by an officer, stating that the construction,
18 acquisition or expansion of the facility will result in a net
19 increase in the annualized base payroll as required by this
20 paragraph and that full-time-equivalent employees of the facility
21 are or will be offered a basic health benefits plan as required by
22 this paragraph. If, after the completion of such construction or
23 expansion or after three (3) years from the start of initial
24 construction or expansion, whichever occurs first, the construction,

1 acquisition or expansion has not resulted in a net increase in the
2 amount of annualized base payroll, if required, or any other
3 qualification specified in this paragraph has not been met, the
4 manufacturing concern shall pay an amount equal to the amount of any
5 exemption granted including penalties and interest thereon, to the
6 Tax Commission for deposit to the Ad Valorem Reimbursement Fund;

7 5. Except as otherwise provided by this paragraph, any new,
8 acquired or expanded computer data processing, data preparation or
9 information processing services provider classified in U.S. Industry
10 Number 518210 of the North American Industrial Classification System
11 (NAICS) Manual, 2017 revision, may apply for exemptions under this
12 section for each year in which new, acquired, or expanded capital
13 improvements to the facility are made for assets placed in service
14 not later than December 31, 2021, if:

- 15 a. there is a net increase in annualized payroll of the
16 applicant at any facility or facilities of the
17 applicant in this state of at least Two Hundred Fifty
18 Thousand Dollars (\$250,000.00), which is attributable
19 to the capital improvements, or a net increase of
20 Seven Million Dollars (\$7,000,000.00) or more in
21 capital improvements, while maintaining or increasing
22 payroll at the facility or facilities in this state
23 which are included in the application, and
24

1 b. the facility offers, or will offer within one hundred
2 eighty (180) days of the date of employment of new
3 employees attributable to the capital improvements, a
4 basic health benefits plan to the full-time-equivalent
5 employees of the facility, which is determined by the
6 Oklahoma Department of Commerce to consist of the
7 elements specified in subparagraph b of paragraph 1 of
8 subsection A of Section 3603 of this title or elements
9 substantially equivalent thereto.

10 An establishment described by this paragraph, the primary
11 business activity of which is described by Industry No. 518210 of
12 the North American Industry Classification System (NAICS) Manual,
13 2017 revision, that has applied for and been granted an exemption
14 for personal property at any time within five (5) years prior to
15 November 1, 2021, may apply for exemptions for items of eligible
16 personal property, excluding battery energy storage systems, to be
17 located within improvements to real property and such real property
18 and improvements having been exempt from ad valorem taxation prior
19 to November 1, 2021, pursuant to the provisions of this section if
20 such personal property is placed in service not later than December
21 31, 2036. No additional personal property of such establishment
22 placed in service after such date shall qualify for the exempt
23 treatment otherwise authorized pursuant to this paragraph;

1 6. a. Effective January 1, 2017, an entity engaged in
2 electric power generation by means of wind, as
3 described by the North American Industry
4 Classification System, No. 221119, shall not be
5 defined as a qualifying manufacturing concern for
6 purposes of the exemption otherwise authorized
7 pursuant to Section 6B of Article X of the Oklahoma
8 Constitution or qualify as a manufacturing facility as
9 defined in this section. No initial application for
10 exemption shall be filed by or accepted from an entity
11 engaged in electric power generation by means of wind
12 on or after January 1, 2018,

13 b. Effective January 5, 2028, an entity engaged in
14 electric power generation by means of solar, as
15 described by the North American Industry
16 Classification System, No. 221119, shall not be
17 defined as a qualifying manufacturing concern for
18 purposes of the exemption otherwise authorized
19 pursuant to Section 6B of Article X of the Oklahoma
20 Constitution or qualify as a manufacturing facility as
21 defined in this section. No initial application for
22 exemption shall be filed by or accepted from an entity
23 engaged in electric power generation by means of solar
24 on or after January 5, 2029, and

1 c. Battery energy storage system output shall not be
2 considered electric power generation;

3 7. An entity or applicant engaged in an industry as defined
4 under U.S. Industry Number 324110 of the NAICS Manual, latest
5 revision, which has applied for or been granted an exemption for a
6 time period which began on or after calendar year 2012 and before
7 calendar year 2016 but which did not meet the payroll requirements
8 of subparagraph a of paragraph 4 of this subsection because of
9 nonrecurring bonuses, exercise of stock option or stock rights or
10 other nonrecurring, extraordinary items included in total payroll in
11 the previous year, shall be allowed an exemption, beginning with
12 calendar year 2016, for the number of years including the calendar
13 year for which the exemption was denied, remaining in the entity's
14 five-year exemption period, provided such entity attains or
15 increases payroll at or above the initial or base payroll
16 established for the exemption;

17 8. A facility engaged in manufacturing defined under U.S.
18 Industry Number 327310 of the NAICS Manual shall have the payroll
19 requirements of paragraph 4 of this subsection waived for tax year
20 2021, which is based in part on the 2020 calendar year payroll
21 reported to the Oklahoma Employment Security Commission, and may
22 continue to receive the exemption for the five-year period provided
23 in this section only if all other requirements of this section are
24 met; and

1 9. A facility engaged in manufacturing which otherwise
2 qualifies for the exemption or exemptions pursuant to the provisions
3 of this section shall have the payroll requirements of paragraph 4
4 of this subsection waived for tax year 2021, which is based in part
5 on the 2020 calendar year payroll reported to the Oklahoma
6 Employment Security Commission, and for tax year 2022, which is
7 based in part on the 2021 calendar year payroll reported to the
8 Oklahoma Employment Security Commission, and may continue to receive
9 the exemption for the five-year period provided in this section only
10 if all other requirements of this section are met. Provided, a
11 facility engaged in manufacturing as defined under Industrial Group
12 Number 3364 of the NAICS Manual, latest revision, which otherwise
13 qualifies or qualified to receive the exemption for the five-year
14 period provided in this section, including claims previously denied,
15 shall have the payroll requirements of paragraph 4 of this
16 subsection waived for the five-year exemption period of those
17 initial exemption applications filed after January 1, 2020, and
18 before March 16, 2021.

19 D. 1. Except as provided in paragraph 2 of this subsection,
20 the five-year period of exemption from ad valorem taxes for any
21 qualifying manufacturing facility property shall begin on January 1
22 following the initial qualifying use of the property in the
23 manufacturing process.
24

1 2. The five-year period of exemption from ad valorem taxes for
2 any qualifying manufacturing facility, as specified in subparagraphs
3 a and b of this paragraph, which is located within a tax incentive
4 district created pursuant to the Local Development Act by a county
5 having a population of at least five hundred thousand (500,000),
6 according to the most recent Federal Decennial Census, shall begin
7 on January 1 following the expiration or termination of the ad
8 valorem exemption, abatement, or other incentive provided through
9 the tax incentive district. Facilities qualifying pursuant to this
10 subsection shall include:

- 11 a. a manufacturing facility as defined in subparagraph c
12 of paragraph 1 of subsection B of this section, and
13 b. an establishment primarily engaged in distribution as
14 defined under Industry Number 49311 of the North
15 American Industry Classification System for which the
16 initial capital investment was at least One Hundred
17 Eighty Million Dollars (\$180,000,000.00); provided,
18 that the qualifying job creation and depreciable
19 property investment occurred prior to calendar year
20 2017 but not earlier than calendar year 2013.

21 E. Any person, firm or corporation claiming the exemption
22 herein provided for shall file each year for which exemption is
23 claimed, an application therefor with the county assessor of the
24 county in which the new, expanded or acquired facility is located.

1 The application shall be on a form or forms prescribed by the Tax
2 Commission, and shall be filed on or before March 15, except as
3 provided in Section 2902.1 of this title, of each year in which the
4 facility desires to take the exemption or within thirty (30) days
5 from and after receipt by such person, firm or corporation of notice
6 of valuation increase, whichever is later. In a case where
7 completion of the facility or facilities will occur after January 1
8 of a given year, a facility may apply to claim the ad valorem tax
9 exemption for that year. If such facility is found to be qualified
10 for exemption, the ad valorem tax exemption provided for herein
11 shall be granted for that entire year and shall apply to the ad
12 valorem valuation as of January 1 of that given year. For
13 applicants who qualify under the provisions of subparagraph b of
14 paragraph 1 of subsection B of this section, the application shall
15 include a copy of the affidavit and any other information required
16 to be filed with the Tax Commission.

17 F. The application shall be examined by the county assessor and
18 approved or rejected in the same manner as provided by law for
19 approval or rejection of claims for homestead exemptions. The
20 taxpayer shall have the same right of review by and appeal from the
21 county board of equalization, in the same manner and subject to the
22 same requirements as provided by law for review and appeals
23 concerning homestead exemption claims. Approved applications shall
24 be filed by the county assessor with the Tax Commission no later

1 than June 15, except as provided in Section 2902.1 of this title, of
2 the year in which the facility desires to take the exemption.
3 Incomplete applications and applications filed after June 15 will be
4 declared null and void by the Tax Commission. In the event that a
5 taxpayer qualified to receive an exemption pursuant to the
6 provisions of this section shall make payment of ad valorem taxes in
7 excess of the amount due, the county treasurer shall have the
8 authority to credit the taxpayer's real or personal property tax
9 overpayment against current taxes due. The county treasurer may
10 establish a schedule of up to five (5) years of credit to resolve
11 the overpayment.

12 G. Nothing herein shall in any manner affect, alter or impair
13 any law relating to the assessment of property, and all property,
14 real or personal, which may be entitled to exemption hereunder shall
15 be valued and assessed as is other like property and as provided by
16 law. The valuation and assessment of property for which an
17 exemption is granted hereunder shall be performed by the Tax
18 Commission using one or more of the cost, income and expense and
19 sales comparison approaches to estimate fair cash value in
20 accordance with the Uniform Standards of Professional Appraisal
21 Practice.

22 H. The Tax Commission shall have the authority and duty to
23 prescribe forms and to promulgate rules as may be necessary to carry
24 out and administer the terms and provisions of this section.

SECTION 2. This act shall become effective November 1, 2026.

COMMITTEE REPORT BY: COMMITTEE ON APPROPRIATIONS AND BUDGET, dated
04/22/2026 - DO PASS, As Amended and Coauthored.